



United States
Attorney's Office
Western District of New York



Tonawanda doctor pleads guilty for his role in prescription scam

Wednesday, July 2, 2025

For Immediate Release

U.S. Attorney's Office, Western District of
New York

BUFFALO, N.Y. – U.S. Attorney Michael DiGiacomo announced today that William Stephan, 65, of Tonawanda, NY, who was convicted of misprision of felony, was sentenced to one year probation and 100 hours community service by U.S. District Judge Lawrence J. Vilardo.

Assistant U.S. Attorney Charles M. Kruly, who handled the case, stated that Stephan is a medical doctor with a family practice located in Tonawanda, NY. In April 2015, Stephan was asked by Erik Berg to sign prescriptions for compounded medications. Over a several-month period, he signed compounded prescriptions for 19 patients. When Berg presented these prescriptions to Stephan, they had already been filled out, as well as the number of refills. Stephan then typically signed these prescriptions based on Berg's representation that the patient had a medical need for the prescription(s). When signing the prescriptions, Stephan did not take note of any refills he was authorizing. Prescriptions signed by Stephan for these patients were refilled more than 500 times. None of the 19 patients were Stephan's patients.

The compounded medications prescribed by Stephan carried substantial reimbursement rates, which averaged more than \$16,000 per prescription. Health care benefit programs paid \$8,750,315 in reimbursement for the prescriptions, including refills. Pharmacy benefit managers providing the prescriptions signed by Stephan, would not have approved the prescriptions for reimbursement if they had known that Berg had presented the prescriptions to Stephan already filled out, the compound formula did not address the particular medical needs of a particular patient, but rather to obtain the highest reimbursement from the insurance companies, and that Berg knew that Stephan did not have a doctor-patient relationship with the individual for whom the prescription was written.

In addition, Stephan signed compounded prescriptions for other individuals, including Scott Trapp and Michael Luehrsen.

In June 2016, Express Scripts, Inc. performed an audit of certain prescriptions written by Stephan. During the audit, he and Berg completed audit forms on which Stephan stated that he had written and signed certain prescriptions for compounded medications, concealing the fact that he had not, in fact, written out the prescriptions, and that he did not have a doctor-patient relationship with the patients.

Berg and Luehrsen were previously convicted and awaiting sentencing. Trapp was previously convicted and sentenced.

The sentencing is the result of an investigation by the Federal Bureau of Investigation, under the direction of Acting Special Agent-in-Charge Mark Grimm.

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PRESS RELEASE

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July 13, 2026



Western District of New York

